



Note on Competitive Positioning

Some firms consistently post higher returns than the average for their industries. Apple Computer, for example, earned a return on assets of 16.3% between 1986 and 1990—over 50% more than the average in the personal computer industry.¹ How do firms like Apple secure and sustain higher returns than their competitors over relatively long periods of time? First, they develop a vision about how to create value in an unprecedented way. Second, they systematically invest in the resources necessary to deliver that value more effectively than competitors.

This note introduces the concept of competitive positioning, and briefly describes some widely used frameworks for analyzing competitive advantage. The frameworks emphasize entrepreneurial vision, strategic goals, value-creating activities, and their connections to profitability.

Entrepreneurial Vision: The Creation of Value

Companies create value in two ways. Many celebrated start-ups offer products with new features at relatively low prices.² Steve Wozniak and Steve Jobs, for example, created Apple Computer on April 1, 1976, with the intention of making computers available to people without technical training.³ Computers had never before been offered on such a small scale.

The second method for creating value usually receives less attention, although it can be equally powerful. Companies can create value by producing a product with an unprecedented combination of materials (or other inputs). Reynolds and Alcoa revolutionized the packaging industry when they introduced the aluminum beverage can in the 1960s, for example. The new cans appealed to buyers partly because they were lighter and therefore cheaper to transport.⁴

Strong competitive positions begin with an entrepreneurial insight about how the company can deliver value at a reasonable cost.⁵ A great idea for a product is not enough to obtain above-average profits. A firm's competitive position is defined by the activities the firm performs to deliver

¹ Value Line. Also see "Selected Profitability Data on U.S. Industries and Companies," HBS No. 792-066.

² This idea is developed in Michael E. Porter, *Competitive Advantage* (Free Press, 1985).

³ David B. Yoffie, "Apple Computer 1992," HBS No. 792-081.

⁴ Karen D. Gordon and John P. Reed, "Crown Cork and Seal Company, Inc. (condensed)," HBS No. 388-096.

⁵ Adam Brandenburger and Harborne W. Stuart, Jr., "Value-Based Business Strategy," HBS working paper No. 93-073, precisely define these ideas and provide an analytical foundation for them.

Assistant Professor Anita M. McGahan prepared this note as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

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value and the costs it incurs to perform those activities. The reward to an entrepreneurial company with a strong position is reflected in its profits: the product of the margin on each sale and the total number of sales that take place.⁶ In the early phases of a market's development, the total value created by a new product is often so great that firms do not haggle with buyers and suppliers over the division of value between them.⁷ Prices are high enough and costs low enough to give the entrepreneur a satisfactory return; buyers and suppliers react as though prices are low enough and costs high enough to allow them also to benefit from the innovation.

Competitive Advantage

With rare exceptions, successful companies eventually face competition in their markets. The advent of competition creates pressure on the first-mover's margins. Prices may decline as rivals attempt to attract buyers from one another. At the same time, costs may rise as rivals bid for scarce materials or the services of skilled employees. A first-mover can continue to earn superior returns if it protects its position by engaging in a comprehensive system of activities that limits decreases in prices and increases in costs. Although a competitor might cost-effectively imitate one of the activities, the first-mover's position is defensible if the entire system cannot be imitated cost-effectively.

Apple Computer continued to earn high returns in the 1980s because its developers enhanced the firm's operating system, its hardware engineers created desktop publishing peripherals, and its marketers emphasized ease-of-use. As sales of IBM-compatible PCs grew in the business segment, Apple continued to attract new users in the educational and home segments. No firm successfully challenged Apple in its targeted segments because Apple had built an advantage based on a constellation of activities that made its position difficult to replicate.

The business press also reports many stories of first-movers that cede position to later entrants because they do not adopt the activities necessary to secure a competitive position.⁸ Philips, the Dutch electronics firm, lost its first-mover advantage in compact discs because it did not invest in manufacturing capacity or in distribution systems prior to entry by Sony.⁹ Several American firms lost their advantages in the tire industry because they did not retool manufacturing plants to produce radials, nor did they modify their marketing programs to develop brand awareness for the new tires.

What prevents firms from investing in the activities necessary to support a sustainable advantage? The investments required to create a system of interrelated activities are usually risky. Firms must make commitments under considerable uncertainty about future costs and about whether buyers will accept their products.¹⁰ By making the investments necessary to sustain advantage, the firm typically commits to incur significant fixed costs that may be depreciated over relatively long periods of time. If the vision proves successful in the marketplace and if investments are well-timed, the firm incurs relatively lower variable costs to perform the day-to-day activities required to deliver

⁶ Pankaj Ghemawat, *Commitment* (Free Press, 1991), chapter 4, describes the positioning value of a strategic option in these terms.

⁷ Michael E. Porter, *Competitive Strategy* (Free Press, 1980).

⁸ This idea is developed in Ghemawat (1991).

⁹ A.M. McGahan, "The Incentive Not to Invest: Capacity Commitments in the Compact Disc Introduction," in Rosenbloom and Burgelman, eds, *Research on Technological Innovation, Management and Policy*, vol. 5 (Greenwich: JAI Press, 1993).

¹⁰ This concept reflects the definition of business strategy in Kenneth R. Andrews' seminal book, *The Concept of Corporate Strategy*, originally published in 1971: "The essence of the definition of strategy . . . is pattern. The interdependence of purposes, policies, and organized action is crucial to the particularity of an individual strategy and its opportunity to identify competitive advantage. . . The pattern of goals and policies, rather than their separate substance, is the source of the uniqueness that ideally should distinguish every company from its competitors" (pp. 14-5).

the product. Imitators may be deterred because they cannot replicate the first-mover's investments at a comparable cost.

Second and subsequent entrants into a market sometimes secure viable competitive positions by pursuing a different entrepreneurial vision than a successful first-mover. In the soft drink industry, Pepsi gained share in the 1950s and 1960s by selling through supermarkets and engaging in extensive television advertising. During that period, first-mover Coca-Cola was established in the fountain segment and relied on existing brand equity. Pepsi obtained competitive advantage by creating value in a different way than Coke: It largely appealed to younger buyers purchasing soda in suburban supermarkets; Coke was most popular among older buyers purchasing soda in urban restaurants.¹¹

Analysis of Competitive Positions: Strategic Goals

Analysis of a firm's competitive position begins with an identification of the firm's strategic goals. What is the firm's vision for creating value? Does it offer products in the hope of commanding a price premium over competitors? Does it intend to incur lower costs than competitors? What are its target segments? Most firms cannot realistically pursue goals of high prices, low costs, and high volumes. Competitors inevitably force choices.¹²

Analysis of a firm's goals often requires careful analysis of management's attitudes toward risk.¹³ Firms may currently accept low profits as they invest in tangible or intangible resources to provide a foundation from which to create value in the future. It is critical to note that description of a firm's competitive position—including identification of its goals—is a snapshot of the firm at one point in time, not a moving picture of the firm as it evolves. Nonetheless, part of the snapshot is a profile of management's current investments to sustain the firm's competitive position, and the risks it takes by making those commitments.

Michael E. Porter has developed a framework for classifying strategies based on trade-offs in strategic goals.¹⁴ These trade-offs take two forms in Porter's framework. First, most companies in established industries cannot obtain a price premium and incur lower costs than competitors. Buyers will not pay a premium for a product unless it has better features than that of the competition. A firm that commands a price premium usually incurs extra costs to provide these features. Porter identifies companies that command price premia as "differentiators." Similarly, a firm that incurs lower costs than rivals usually cannot produce a product with better features, and therefore usually cannot command a price premium. These firms must share their cost advantages with buyers through low prices, and hence Porter calls them "low cost competitors." Firms that have neither successfully differentiated nor obtained cost advantage are in the unenviable position of "stuck in the middle."

The second form of trade-off in Porter's framework is implicit in the volume of a firm's sales. Firms that sell to the mass market are "broad" in scope. Those that create value in a specialized segment are "narrow" in scope. Narrowly focused competitors sacrifice volume to create extraordinary value for a relatively small number of buyers and suppliers. Their reward is usually greater margins on each sale. Microbrewers, for example, are often successful as narrow differentiators. Many charge a substantial price premium over the industry's broad differentiator

¹¹ Michael E. Porter, "Coca-Cola versus Pepsi-Cola," HBS No. 389-170.

¹² Porter (1980) makes this point.

¹³ See Elizabeth Olmsted Teisberg, "Strategic Response to Uncertainty," HBS No. 391-192, for a discussion of relationships between goals and uncertainty.

¹⁴ The framework outlined in this paragraph and the remainder of this section was introduced in Porter (1980) and developed in Porter (1985).

(Heineken) because they have local appeal. Customers in a particular city pay a premium for a local beer because the brewer only has sufficient capacity to sell in a localized geographic area.

Narrow differentiators usually can compete effectively only if they can command a greater premium than a broad differentiator. Similarly, narrow low-cost competitors usually can compete effectively only if they have lower costs than a broad competitor. The sixth-largest firm in the brewing industry, S&P, competes as a narrow low-cost competitor by purchasing the brands of failing firms (e.g., Ballantine, Pabst). S&P brews beer in consolidated facilities, discontinues almost all advertising, and minimizes transportation costs by selling in limited geographic areas populated by buyers loyal to its brands. Its products are sold at very low prices until consumers lose interest in them. S&P incurs lower costs than the industry's broad low-cost competitor, Anheuser-Busch, but attracts less than one-tenth the volume.

Analysis of Competitive Positions: Activities¹⁵

The second step in analyzing a firm's competitive position is identification of its operating activities and their impact on prices, costs, and volumes. Consider the BIC Pen Corporation's activities in mechanical writing instruments during the early 1970s.¹⁶ BIC lowered its manufacturing costs by automating factories to obtain scale economies in the production of its inexpensive, disposable pens. Products were sold by a large sales force to all relevant types of distributors, and 15% of revenues were spent on television advertising to foster widespread awareness. The firm carefully monitored quality to assure that the durability and reliability of its pens did not fall below those of competing products. Each of these activities was adopted to support BIC's goal of high market share. The implicit pattern was low-cost provision of disposable pens through high-volume production and mass marketing.

An analysis of competitive position generates the greatest insight into the firm's advantage when it identifies all the value-creating activities of the firm at a level of detail that reflects differences with rivals. Porter (1985) notes that a low-cost competitor need not have lower costs in every activity, but the sum of the costs of performing all activities must be lower than that of competitors. The same principle applies to differentiators: a differentiator does not have to enhance the features of the product with every activity, but the gross value for buyers created by performing all activities must be greater than that of competitors.

Firms with strong advantages create powerful links between activities in different functional areas. At BIC, for example, manufacturing on a large scale was possible because television advertising created massive demand for the firm's pens. Television advertising was cost-effective in turn because the firm's expenditure was large enough to allow it to reach a vast audience. Although these types of links may be difficult to analyze, they are central to the firm's advantage. An analyst must press for a thorough understanding of the individual and joint impact of linked activities on prices, costs, and volumes.

Competitive Positions and Industry Structure

Firms' competitive positions have strong affinities to the structure of the industry in which they compete. Entrepreneurial companies in new markets may be the only firms in their industries. As a result, questions about the appropriate configuration of activities often receive less attention than issues about strategic goals. One reason is that radically new products often pose significant threats of substitution to firms in an established industry. Entrepreneurial firms naturally devote attention to

¹⁵ See Porter (1985) for a comprehensive treatment of activity analysis.

¹⁶ This description is drawn from Elisabeth Lyman Rachal, "BIC Pen Corporation (A)," HBS No. 374-305.

comparisons that buyers make between the new product and those that it displaces, or to the materials and skills required to implement a new technology.

Nonetheless, the activities adopted by a first-mover can have a lasting impact on the structure of the industry and on the firm's competitive position. First-movers are sometimes tempted to lower prices or enhance customer service to deter imminent entry, for example. These tactical moves may raise standards across the industry (and perhaps improve its structure) without conferring any specific advantage on the first-mover. To defend a competitive position successfully, a firm must make inimitable investments in tangible assets, brand equity, or the skills required to create value.